

CXC JUNE 2012 EXAMINATION
PRINCIPLES OF ACCOUNTS – GENERAL PROFICIENCY LEVEL
PAPER 02 EXEMPLAR CRITIQUE

QUESTION #2

Score Awarded: 17 marks
Total Possible Score: 20 marks
Rating: EXCELLENT

The candidate's response was excellent. Full marks were awarded for the application of accounting principles which included the writing up of the journal entries and the 'provision for bad debts' account. However, the candidate showed weaknesses in first identifying the appropriate accounting concept that guides adjustments to financial statements and secondly, failing to explain how the concept guides the appropriate adjustments.

Q.2
 Write the question number in this column.

Dr.				Cr.			
Date	Particulars	F	Amount	Date	Particulars	F	Amount
2016 Dec 31	Balance	4d	2932.-	2016 Dec 31	Profit & Loss	135	2932.-
			2932.-				2932.-
2011 Dec 31	Profit & Loss		332.-	2011 Jan 1	Balance	b/d	2932.-
31	Balance	c/d	2500.-				2932.-
			2932.-	2012 Jan 1	Balance	b/d	2500.-

2(b)(i) Adjustments are made to financial statements in order to produce accurate results.

2(b)(ii) The provision accounts concept guides adjustments to financial statements.

[Signature]

General Journal

Q

DATE	PARTICULARS	FO	DEBIT	CREDIT
2016 Dec 31	Bad Debts		4900 00	
	Nat Lewis			950 0
	Job Steven			3600 0
	Anna Tomas			450 0
	The bad debts were written off			
31	Profit & Loss		2932 00	
	Provision for Bad Debts			2932 0
	Created a provision for bad debts account of 10% of accounts receivable			

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<u>Score Awarded:</u>	12 marks
<u>Total Possible Score:</u>	20 marks
<u>Rating:</u>	SATISFACTORY

The candidate demonstrated fair competence in journalising and making the necessary adjustments. The candidate demonstrated weaknesses in completing correctly the 'Provision for Bad Debts' Account. For example, although the computed figure (for bad debts provision) was correct, the appropriate entries regarding the yearly transfers to the Profit and loss account were omitted. The candidate lost marks in the following areas

Question 2a (i)

Failure to indicate or name the appropriate journal

Question 2a (ii)

Failure to identify the proper double entry to record 'provision for bad debts', that of, debiting 'profit and loss' account and crediting 'provision for bad debts' account

Question 2a (iii)

Failure to calculate the yearly 'provision' and to show the relevant adjustment in the 'Provision for Bad Debts' Account for year 2. The candidate also failed to indicate the balances in this account which ought to carry a credit balance.

Question 2b (ii) Failure to identify a concept which guides adjustments to financial statement.

Question 2b (iii) Because of 2b (ii), the candidate had difficulty responding to this question since the response given was incorrect.

2(a)i)

DATE	PARTICULARS	DEBIT	CREDIT
2010			
Dec 31	Bad debts	4900	
	Nat Lewis		850
	Jeb Steven		3600
	Anna Tomas		450
	Being bad debts written off as bad debts.	4900	4900
ii)			
2010			
Dec 31	Provision for bad debts	2832	
	Bad debts Debtors		2832
	Being provision for bad debts of debtors.		

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Question 2 (TWO) Candidate Number
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b) i) ONE reason why adjustments are made to financial statements is ~~to~~ because they are still outstanding expenses or revenue that has been left out.

ii) One concept which guides ~~to~~ adjustment to financial statements are the notes after preparing the trial balance.

iii) the concept guides adjustments made to financial statements because they tell you what has been left out and where it has been left out.

g) iii) Provision for Doubtful Debts A/c	
2010	2010
Bad debts <u>2832</u>	Trans to P&L A/c <u>2832</u>
Provision for doubtful Debts A/c	
2011	2011
Bad debts <u>2500</u>	Trans to P&L A/c <u>2500</u>

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QUESTION #2

Cand. da

Score Awarded: 08 marks

Total Possible Score: 20 marks

Rating: UNSATISFACTORY

The candidate's response was deemed unsatisfactory. Marks were lost in all three (3) parts of the question. A comprehensive account of the candidate's performance are outlined below

Question 2a (i) and (ii)

The candidate failed to identify the correct journal entries to indicate that the three (3) receivables were written off and to record the 'provision for bad debts'. The candidate also failed to write the appropriate narratives.

Question 2a (iii)

The candidate failed to rule up the 'provision for bad debts' account in the form of a 'T' account. Instead, he/she used the General Journal format. In addition, the candidate failed to transfer the balance carried forward on the credit side of the said account. There was no evidence to suggest that the candidate calculated and recognised the adjustments to be made in that account. There was also a lack of knowledge in balancing -off account.

Question 2b

This section proved to be very challenging for the candidate. Therefore, no marks were acquired. This indicates that the candidate lacked fundamental knowledge on accounting concepts and principles.

2 (21)

Candidate Registration No. 136012

Sales Journal

DATE	PARTICULARS	FO	DEBIT	CREDIT
Dec 31	Bad debts Nat Lewis		850	850
Dec 31	Jeb Stevens Bad debts		3600	3600
Dec 31	Bad debts Anna Tomas		450	450
			1660	1660

Doubtful Debts Account			
DATE	PARTICULARS	FO	CREDIT
	Bad debts provision	2832	
	Bad debts	25488	
	Receivables		28320
			28320

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Question 2(a)(iii) Candidate Number
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Provision for Doubtful debts account

DATE	DEBITS	DR	CR
<u>Jan 1</u>	Bad debts	2500	
	Provisions 10%		2500
	Imp. Bad debts		22500
<u>Dec 31</u>	Bad debts	22500	
	Provisions 10%		2250
	Ind. up Bad debts		20250

2(b)

(i) So that financial ^{decision} ~~statements~~ can be made.

(ii)

(iii)

(K) (A) (C) (K)

A

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